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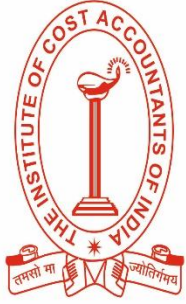
CHAPTER- V

INCOME OF OTHER PERSONS INCLUDED IN TOTAL INCOME OF ASSESSEE



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Section-96 of Income Tax Act, 2025

Transfer of income without transfer of assets



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Section 96 – Transfer of income without transfer of assets

“Section 96 -Transfer of income without transfer of assets

All income arising to any person by virtue of a transfer,—

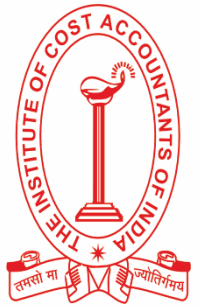
*(a) whether revocable or not, and whether effected before or after the commencement of this Act; and
(b) where there is no transfer of assets from which such income arises,
shall be chargeable to income-tax as the income of the transferor and shall be included in his total income.”*

Analysis:

- (i) Where a person transfers the income arising from an asset without transferring the ownership of the asset itself, such income shall be included in the total income of the transferor.
- (ii) It is irrelevant whether the transfer is revocable or irrevocable, and whether it was effected before or after the commencement of this Act.

Example:

Mr. P assigns the right to receive rental income from his house property to his spouse, **Mrs. P**, **without transferring ownership of the property**. In such a case, the rental income received by Mrs. P shall be included in the total income of Mr. P.



Section 96 – Transfer of income without transfer of assets

Litigation Implications of Section 96

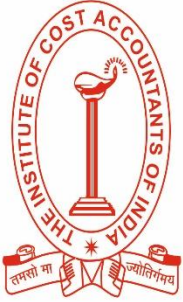
However, a potential area of litigation may arise where the recipient of income furnishes a declaration in Form No. 121 (earlier Forms 15G/15H), while the underlying income is, in substance, derived from an asset owned by another person. Such arrangements are often structured to avail the benefit of lower tax slab rates in the hands of the transferee. In such cases, the substantive provisions of the law would prevail over procedural compliance. Accordingly, section 96 of the Income-tax Act, 2025 would override the procedural declaration furnished in Form No. 121, and the income would be taxable in the hands of the actual owner of the asset and accordingly the TDS is not required to be deducted. This is in line with the settled principle that taxability is determined based on ownership and real accrual of income, and not merely on the basis of the person who receives such income.

Although clubbing provision is applicable, and income is taxable in the hands of transferor, still notice of demand can be served on the transferee and amount recovered from him. The transferee is liable to pay the portion of tax which is attributable to the clubbed income.

For clubbing provisions, income includes losses. This means if any one who has loss during the financial year and such loss has comes under the clubbing provision then losses of such type will be added even if it reduces the net tax liability.

Exception - Section 96 [Section 60 of ITA61] does not apply if corpus itself is transferred.





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Section-97 of Income Tax Act, 2025

Chargeability of income in transfer of assets



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Section 97 – Chargeability of income in transfer of assets.

“(1) All income arising to any person by virtue of a revocable transfer of assets shall be chargeable to income-tax as income of the transferor and shall be included in his total income.

*(2) The provisions of **sub-section (1)** shall not apply,—*

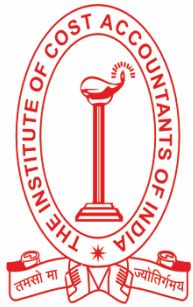
(a) where a transfer is by way of trust which is not revocable during the lifetime of the beneficiary and in case of any other transfer, is not revocable during the lifetime of the transferee; and

(b) the transferor does not derive any direct or indirect benefit from such income in cases referred to in clause (a).

*(3) Irrespective of the provisions of sub-section (2), all income arising to any person by virtue of such transfer shall be chargeable to income-tax as income of the transferor as and **when the power to revoke** such transfer arises, and shall then be **included** in his total income.”*

Analysis: This provision states that where an asset is transferred under a **revocable transfer**, the income arising from such asset will be taxed in the hands of the transferor.

However, this **rule does not apply** if the transfer is **irrevocable** during the **lifetime** of the beneficiary/transferee and the **transferor derives no direct or indirect benefit** from such income. Despite this exception, once the **power to revoke arises**, the income will again become taxable in the hands of the transferor from that point onwards.



Section 97 – Chargeability of income in transfer of assets.

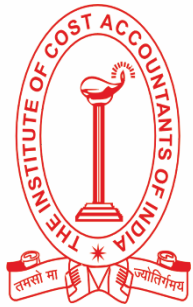
Litigation Implications of Section 97

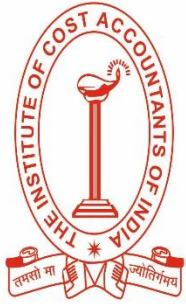
Revocable trust taxation clarified: income taxed in beneficiaries when beneficiary shares are known; trust not treated as AOP.

Decision addresses tax characterization of a trust set up to hold security receipts and clarifies that a revocable trust is not to be treated as an association of persons where beneficiary shares were fixed at inception, with the operative effect that income is assessable in the hands of the beneficiaries under sections 61 to 63; because beneficiary shares were known from the start the trust is not an indeterminate trust, and consequently the Revenues grounds challenging assessment treatment were dismissed.

ARCIL Retail Loan Portfolio 001 J Trust Versus The Income Tax Officer, Circle-21 (1) (2), Mumbai And ITO, Ward-22 (1) (6) Versus ARCIL Shalimar Wires

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Section-98 of Income Tax Act, 2025

“Transfer” and “revocable transfer” defined



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Section 98 – “Transfer” and “revocable transfer” defined

Section 98 defines the terms “transfer” and “revocable transfer” without making any material distinction from the definitions provided under the Income-tax Act, 1961.

“98. “Transfer” and “revocable transfer” defined.

For the purposes of section 96 and 97, and this section,—

*(a) “**transfer**” includes any settlement, trust, covenant, agreement or arrangement;*

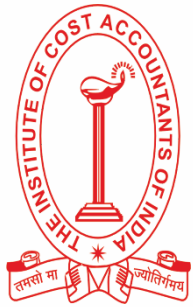
*(b) a transfer shall be **deemed to be revocable**, if—*

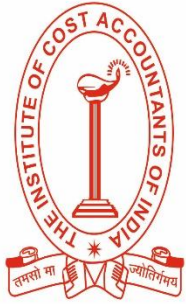
*(i) it contains any provision for the **direct or indirect re-transfer** of the whole or any part of the income or assets to the transferor; or*

*(ii) it, in any way, **gives the transferor a right to re-assume power directly or indirectly** over the whole or any part of the income or assets.”*

Analysis: This provision gives a wide meaning to the term “transfer”, covering not only direct transfers but also arrangements such as settlements, trusts, covenants, or agreements. It further clarifies when a transfer will be treated as revocable—that is, if the transferor retains any right to get back the asset or income, or to regain control over it, whether directly or indirectly for whole or part of the income or assets.

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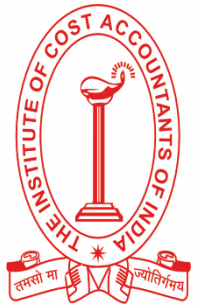
Section-99 of Income Tax Act, 2025

Income of individual to include income of spouse, minor child, etc



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Section 99 – Income of individual to include income of spouse, minor child, etc.

“(1) The total income of any individual, for a tax year, shall include the income arising directly or indirectly,—

(a) to the spouse of such individual,—

(i) by way of salary, commission, fees or any other form of remuneration, whether in cash or kind, from a concern in which such individual has a substantial interest but shall not include income solely attributable to the application of technical or professional knowledge, experience and technical or professional qualification of the spouse;

(ii) from assets transferred directly or indirectly to him or her by such individual otherwise than for adequate consideration or in connection with an agreement to live apart, subject to the provisions of section 25(a);

(b) to the son’s wife of such individual from assets transferred directly or indirectly on or after the 1st June, 1973, to her by such individual, otherwise than for adequate consideration;



Section 99 – Income of individual to include income of spouse, minor child, etc.

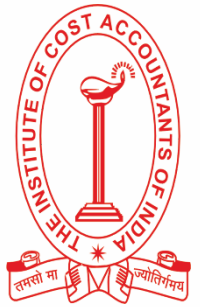
“(c) to the minor child of the such individual, but shall not include income accruing or arising—

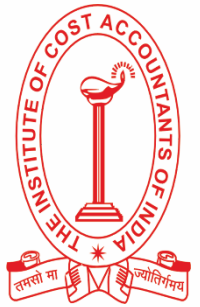
(i) on account of work done by such child; or

(ii) from activities where his skill, talent, specialised knowledge or experience is applied; or

(iii) where such minor child is suffering from disability of the nature specified in section 154;

(d) to any person or association of persons from assets transferred directly or indirectly, otherwise than for adequate consideration to the person or association of persons by such individual, to the extent to which the income from such assets is for the immediate or deferred benefit of his or her spouse or his son’s wife, as the case may be, other than the assets transferred before 1st June 1973, to the extent to which the income from such assets is for the immediate or deferred benefit of his son’s wife.”





Section 99 – Income of individual to include income of spouse, minor child, etc.

Analysis: Section 99 of the Income Tax Act, 2025 provides that the total income of an individual shall include income arising directly or indirectly in the following cases:

- **Income to spouse** from remuneration in a concern where the individual has substantial interest (except where it is due to the spouse's professional skills) and from assets transferred without adequate consideration (other than for living apart);
- **Income to son's wife** from assets transferred without consideration;
- **Income to minor child**, except where it arises from the child's own skill, work, or in case of specified disability;
- **Income to any person** or association from assets transferred without consideration, where such income benefits the spouse or son's wife.
- Where an **individual converts personal property** into HUF property without consideration, the income from such property is taxable in the hands of the individual and not the HUF etc.

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Section 99 – Income of individual to include income of spouse, minor child, etc.

As per section 99(2) of the ITA, 2025

*“(2) If the asset transferred under sub-section **(1)(a)(i)** or (b) is invested by the **spouse or son’s wife**, in any business or in the nature of capital contributed as a partner in a firm, or, as the case may be, for being admitted to the benefits of partnership in a firm, then, the income to be included in the hands of the individual for the tax year shall be as follows:—*

$$A = B \times (C / D)$$

where,—

A = Income to be included in the hands of individual for the tax year;

B = Income and interest or both, arising to the spouse or son’s wife from the business or the firm, as applicable during the tax year;

C = Value of such assets invested, or contributed as capital by the spouse or son’s wife as on the first day of the tax year;

D = Total investment or total capital contribution, as the case may be, by the spouse or son’s wife as on the first day of the tax year.”

Substituted vide Section 45 of the Finance Act, 2026 w.e.f. 01-04-2026 before it was read as, "sub-section (1)(a)(i) or (b)"

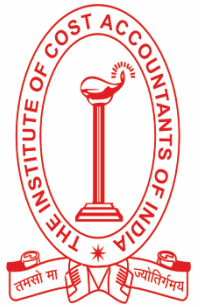


Section 64(1) of the Income Tax Act, 1961

While computing total income, any income arising from assets transferred **without adequate consideration** is clubbed back in the hands of the transferor. This applies to transfers made to a **spouse** (unless under an agreement to live apart) and to a **son's wife**. Even if the income is received by them, it will be taxed in the hands of the individual who transferred the asset. **Explanation 3** is provided for computing the total income of the transferor in **such cases**.

“Explanation 3.— *For the purposes of clauses (iv) and (vi), where the assets transferred directly or indirectly by an individual to **his spouse** or **son's wife** (hereafter in this Explanation referred to as "the transferee") are invested by the transferee, -*

- (i) in any business, such investment being not in the nature of contribution of capital as a partner in a firm or, as the case may be, for being admitted to the benefits of partnership in a firm, that part of the income arising out of the business to the transferee in any previous year, which bears the same proportion to the income of the transferee from the business as the value of the assets aforesaid as on the first day of the previous year bears to the total investment in the business by the transferee as on the said day;*
- (ii) in the nature of contribution of capital as a partner in a firm, that part of the interest receivable by the transferee from the firm in any previous year, which bears the same proportion to the interest receivable by the transferee from the firm as the value of investment aforesaid as on the first day of the previous year bears to the total investment by way of capital contribution as a partner in the firm as on the said day,” shall be included in the total income of the individual in that previous year.*



Section 99 – Income of individual to include income of spouse, minor child, etc.

To simplify the application, the new provision introduces a **formula-based mechanism** for determining the portion of income to be clubbed with the income of the transferrer.

Illustrative Example for Understanding the provision of Section 99(2) of ITA'25

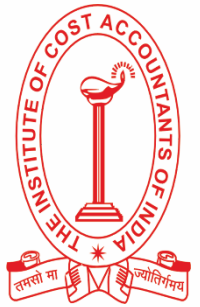
Mr. A transfers a sum of **₹5,00,000** to his spouse, Mrs. A, without any adequate consideration. Mrs. A invests this amount along with her own capital of **₹5,00,000** in a business, resulting in a total investment of **₹10,00,000**.

During the relevant tax year, the business generates an income of **₹40,000**, which accrues to Mrs. A.

Particulars		Amount (Rs.)
Income and interest or both, arising to the spouse or son's wife from the business or the firm, as applicable during the tax year	B	40,000
Value of such assets invested, or contributed as capital by the spouse or son's wife as on the first day of the tax year	C	5,00,000
Total investment or total capital contribution, as the case may be, by the spouse or son's wife as on the first day of the tax year	D	10,00,000

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Section 99 – Income of individual to include income of spouse, minor child, etc.

Continued....

A = Income to be included in the hands of individual for the tax year

$$\begin{aligned} &= B * C/D \\ &= 40,000 * (5,00,000/10,00,000) \\ &= 20,000 \end{aligned}$$

Hence, Rs. 20,000 will be clubbed with the income of the transferor i.e. Mr. A.

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Section 99 – Income of individual to include income of spouse, minor child, etc.

“(3) Where a property owned by an individual is converted into property belonging to the Hindu undivided family of which he is a member, through—

- (a) the act of impressing such separate property with the character of property belonging to the family; or*
- (b) throwing it into the common stock of the family; or*
- (c) transfer, directly or indirectly to the family,*

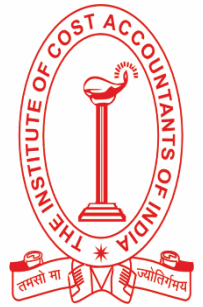
without adequate consideration, then, irrespective of any other provision of this Act or any other law in force for computing the total income of such individual,—

(i) the individual shall be deemed to have transferred such property, through the family, to the members of such family for being held jointly, and the income derived from such property or part thereof, shall be deemed to be income of the individual;

(ii) where the property so converted has been the subject-matter of partition (whether partial or total) amongst the member of the family, the income derived from such property as is received by the spouse of the individual on partition, shall be deemed to arise to the spouse from assets transferred indirectly to the spouse and the provisions of sub-section (1)(a) shall apply,

and the income referred to in clauses (i) and (ii) shall, on being included in the total income of the individual, be excluded from the total income of the family or the spouse.

(4) The provisions of sub-section (3) shall not apply where the property of the individual has been converted into property belonging to the family on or before the 31st December, 1969.”



Clubbing of Income Between Spouses and Continuity of Taxability in the Hands of the Higher-Income Spouse

As per Extract of Sec 99(5) of ITA, 2025:

*“(5) For the purposes of this section,—
(a) for sub-section (1)(a)(i),—
(i) the income referred to in that clause shall be included in the hands of either of the spouse whose total income before such inclusion is greater; and
(ii) such income, once included in the total income of either spouse, for a tax year, shall not be included in the income of the other spouse for any succeeding tax year, unless the Assessing Officer is **so satisfied**, after giving the other spouse **an opportunity of being heard**;”*

As per Extract of Sec 64(1) of ITA, 1961:

*“Explanation 1.—For the purposes of clause (ii), the individual in computing whose total income the income referred to in that clause is to be included, shall be the husband or wife whose total income (excluding the income referred to in that clause) is greater; and where any such income is once included in the total income of either spouse, any such income arising in any succeeding year shall not be included in the total income of the other spouse unless the Assessing Officer is satisfied, after giving that spouse **an opportunity of being heard**, that it is necessary so to do”*

Analysis: This provision states that where income is required to be **clubbed** between spouses, it shall be included in the hands of the spouse having the **higher total income** (before such inclusion). Once such income is included in the hands of that spouse in a particular year, it will **continue to be taxed** in the **same spouse's** hands in subsequent years, and **cannot be shifted** to the other spouse **unless** the Assessing Officer, after giving an opportunity of being heard, decides otherwise.

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Section 99 – Income of individual to include income of spouse, minor child, etc.

Section 99(5): “(iii) an individual shall be deemed to have a substantial interest in a concern,—

(A) in case where the concern is a company, if its shares (not being shares entitled to a fixed rate of dividend whether with or without a further right to participate in profits) carrying not less than 20% of the voting power are, at any time during the tax year, owned beneficially by the individual or jointly with one or more of his relatives;

(B) in any other case, if such person is entitled, or such person and one or more of his relatives are jointly entitled, to at least 20% of the profits of such concern at any time during the tax year;

(b) for sub-section (1)(c), income of minor child shall be included—

(i) in the income of that parent whose total income before such inclusion is greater, in case where the marriage of his parents subsists; or

(ii) in the income of the parent who maintains such child during the tax year, in case where marriage of his parents does not subsist,

and such income, once included in the total income of either of the parent, for a tax year, shall not be included in the income of the other parent for any succeeding tax year, unless the Assessing Officer is so satisfied, after giving the other parent an opportunity of being heard;

(c) for sub-section (3), “property” includes—

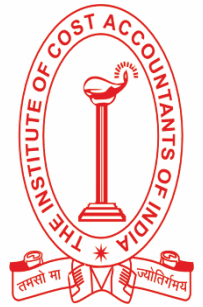
(i) interest in property; or

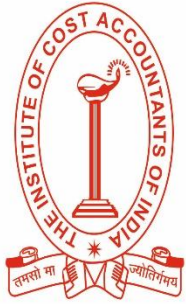
(ii) movable or immovable property; or

(iii) proceeds of sale of such property and any money, property or investment representing such proceeds; or

(iv) where property is converted into any other property by any method, such other property;

(d) for this section, “income” includes loss.”





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Section-100 of Income Tax Act, 2025

**Liability of person in respect of income included
in income of another person**



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Section 100 – Liability of person in respect of income included in income of another person

Where, income of a person, other than the assessee, arising from any asset, or income from membership of a firm, is included in the total income of the assessee under this Chapter or under section 25(a), then, irrespective of anything to the contrary contained in any other law in force,—

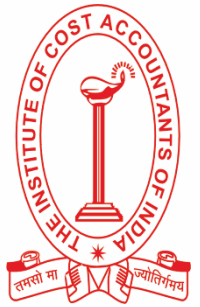
*(a) such person, in whose name such asset stands, or who is a member of the firm, shall be liable to pay, that **portion of the tax levied** on the assessee which is attributable to **the income so included**, upon service of notice of demand by the Assessing Officer in this behalf;*

*(b) where **any such asset** is **held jointly** by more than one person, they shall be jointly and severally liable to pay such tax; and*

*(c) the **provisions of Chapter XIX-D** shall apply accordingly.”*

Analysis:

Where income of another person from an asset or from membership of firm is included in an assessee's total income, the person in whose name the asset stands or the member of the firm is liable to pay the portion of tax attributable to that included income upon service of a notice of demand by the Assessing Officer; if the asset is held jointly, all holders are jointly and severally liable, and the applicable collection and enforcement provisions apply accordingly.



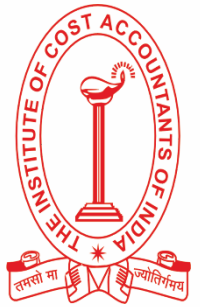
Section 100 – Liability of person in respect of income included in income of another person

Practical Illustration of the Provision:

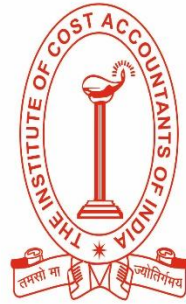
Question: Mr. Karan gifted a house property to his wife, Mrs. Karan, without consideration. The property earns rental income of ₹2,00,000 per year. Mr. Karan's total income including this amount becomes ₹10,00,000, and the total tax liability is ₹1,20,000. Out of this, the tax attributable to the rental income of ₹2,00,000 is ₹24,000. The Assessing Officer issues a notice of demand to Mrs. Karan to pay this ₹24,000. Examine the validity of Assessing officer's action as per the provision of Income Tax Act, 2025.

Ans: Even though the rental income is included in Mr. Karan's income (as per clubbing provisions), the property is in the name of Mrs. Karan. Therefore, the Assessing Officer is **valid** in recovering ₹24,000 (tax attributable to such income) from Mrs. Karan. Hence, she is liable to **pay that portion of tax** despite the income being taxed in Mr. Karan's hands.

Note: Figures used in the above example are illustrative in nature and not computed in accordance with the actual provisions of the Income-tax Act, 2025. The actual tax liability may vary when the relevant provisions are applied.



Thank You



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